

Market Overview

A stable macro backdrop supporting food demand, localization and industrial investment

Saudi Arabia entered 2025 with strengthening macroeconomic momentum, supported by resilient non-oil growth, expanding industrial activity and continued execution of Vision 2030. Moderate inflation, improving trade balances and sustained public and private investment created a supportive environment for essential industries, particularly food production and agricultural processing. Against this backdrop, food security, localization and supply-chain resilience remained national priorities, shaping policy direction and sector dynamics throughout the year.

Saudi Arabia's Macroeconomic Environment in 2025

Economic Growth and Activity

Saudi Arabia recorded solid economic expansion in 2025, with real GDP growing by 4.5% for the year. By year-end, the growth rate reached 4.9% on a year-on-year basis and 1.1% quarter-on-quarter on a seasonally adjusted basis. The oil sector expanded by 10.4% year-on-year, while non-oil GDP grew 4.1%, reflecting continued diversification across manufacturing, logistics, utilities and services. Government activities also recorded a rise of 0.9%.¹

From a production perspective, the strongest contributors included petroleum refining (+11.9%), crude petroleum and natural gas (+7.3%) and electricity, gas and water (+6.4%), highlighting continued industrial momentum and infrastructure demand across the economy.¹

Domestic Demand and Investment

Expenditure-based GDP data pointed to steady domestic demand conditions. Private consumption expenditure increased by 2.7% year-on-year, supported by population growth, urbanization and rising household activity. Gross fixed capital formation decreased 0.7%, reflecting sustained investment in industrial capacity, logistics and infrastructure projects aligned with Vision 2030 priorities.

External demand also strengthened, with exports rising 18.4% year-on-year, significantly outpacing import growth by 4.3%, contributing to a widening trade surplus and reinforcing the Kingdom's external position.¹

Inflation and Cost Environment

Inflation remained contained in 2025, supporting stable consumer purchasing power. As of December, headline inflation stood at 2.0% year-on-year.² Food and beverages inflation remained modest in the second half of the year, with the Food and Beverages Consumer Price Index rising 1.1% year-on-year in December 2025, following 1.1% year-on-year in September.³

Price pressures remained concentrated in essential categories, with housing and utilities increasing 0.3%

and personal care and miscellaneous services up 1.7%, while transport, education and entertainment prices stayed broadly stable, supporting continued demand for staple food products.⁴

Trade and Industrial Indicators

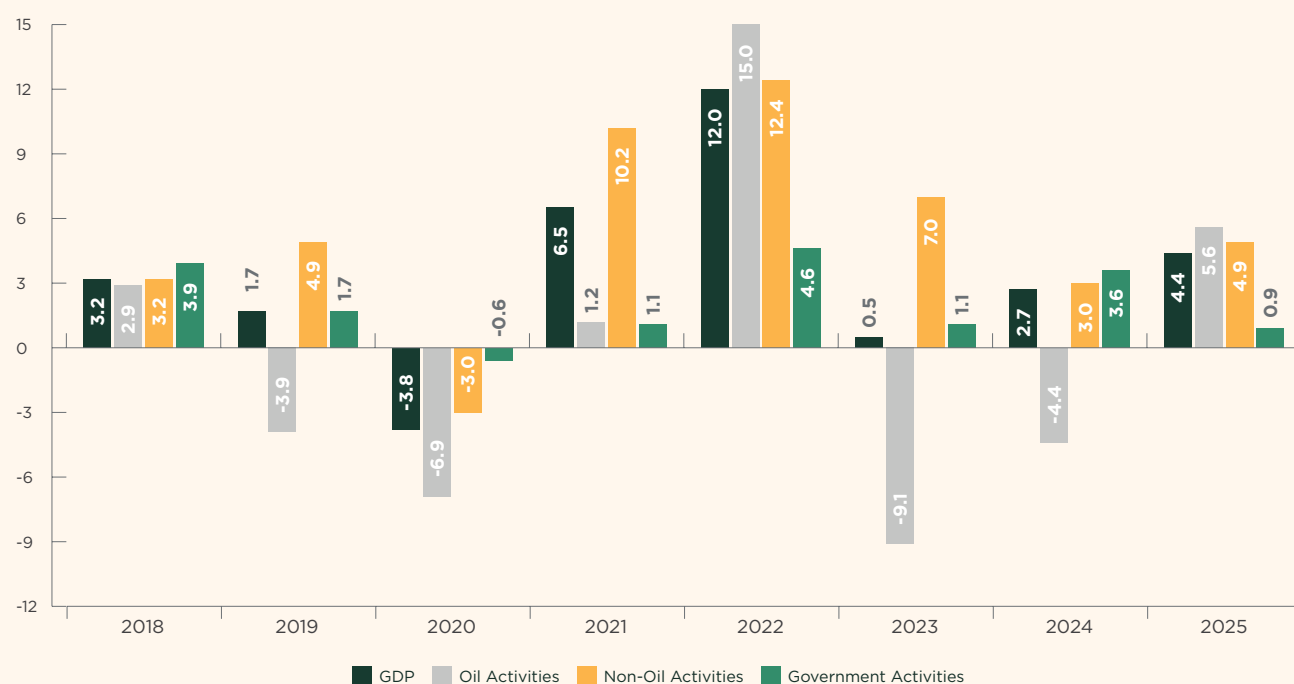
Saudi Arabia's trade performance strengthened during 2025. Total exports rose 10% year-on-year, driven by non-oil exports (+20.7%), re-exports (+53.1%) and oil exports (+5.4%). Imports declined by 0.2%, resulting in a 70.2% expansion in the trade surplus. China remained the Kingdom's largest trading partner for both imports and exports.⁵

Industrial momentum was reflected in the Industrial Production Index, which increased 9.3% year-on-year and 1.9% month-on-month, supported by higher mining and quarrying activity and continued expansion across manufacturing segments.⁶

Consumer Demand and Consumption Trends

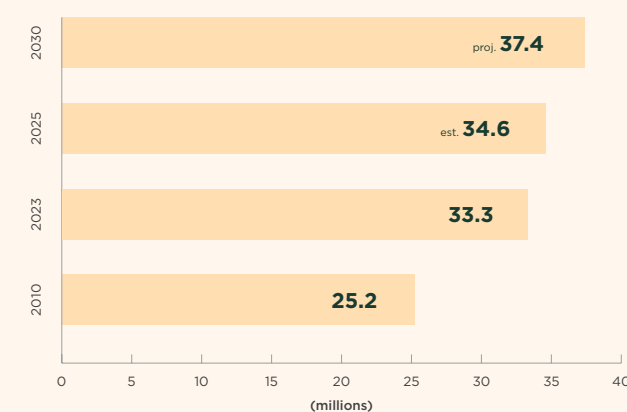
Consumer preferences in 2025 continued shifting toward health-oriented and functional food products. Demand increased for whole wheat, gluten-free and clean-label flour variants, reflecting heightened health awareness and changing dietary habits. These trends were reinforced by steady population growth and urbanization.⁷

Annual Real GDP Growth Rates (%)



Economic growth in 2025 reflected balanced momentum, with non-oil sectors playing an increasingly significant role alongside oil.¹

Population Growth of the Kingdom⁷



Saudi Arabia's population expanded from 25.2 million in 2010 to 33.3 million in 2023 and was estimated at approximately 34.6 million in 2025, with projections indicating continued growth to around 37.4 million by 2030.⁸ Sustained demographic expansion, combined with over 85% urbanization,⁹ supported continued growth in packaged foods, bakery products and ready-to-eat categories.

Household spending patterns underline the structural importance of food consumption. Food and beverages accounted for 18.8% of average household consumption expenditure in 2018 and increased to 27.9% of final monetary consumption expenditure in 2023 at the national level. Although the surveys apply different expenditure concepts, the directional increase highlights a rising share of household budgets allocated to food, reinforcing demand resilience for staple categories.³

Digital commerce and social platforms increasingly influenced purchasing behavior, reinforcing the importance of convenience, transparency and product differentiation across food categories. Saudi Arabia is an almost fully connected, mobile-first market: internet penetration stands at 99%, with 99.4% of users accessing via smartphones. E-commerce is both broad and local, with 74% of users shopping online and food and groceries purchased by 31.5% of online shoppers. The ecosystem is deepening, with Saudi domain names up 25% year-on-year and 21.5% of users already experimenting with AI tools, supporting the continued expansion of digital distribution and direct-to-consumer channels.¹⁰

Market Overview continued

Growth Drivers Shaping Flour and Commodities Demand in Saudi Arabia



Global and Regional Cost Pressures

Global grain markets continued to stabilize in 2025 as supply conditions improved and price pressures eased. The Global Food Price Index averaged 127.2 in 2025, 4.3% higher than its average in 2024 and about 21% below its March 2022 peak, whereas world cereal trade is projected at around 499.5 million tons in 2025/26, supported by a stocks-to-use ratio of approximately 31.1%, the highest since 2017/18.

International wheat prices remained in the mid USD 200s per ton through 2025, reflecting normalization

from 2022-2023 highs. In Saudi Arabia, downstream demand remained resilient, with the animal feed market estimated at roughly USD 6.86 billion in 2025 and expected to grow at mid-single-digit rates over the long term, supporting sustained feed and milling demand.¹¹

At the same time, logistics disruptions in the Red Sea and Suez corridor continued to elevate freight risk and insurance costs, reinforcing the strategic importance of local capacity, inventory management and supply-chain resilience across the Middle East.

Saudi Food, Flour and Commodities Sector

Policy Environment and Food Security Priorities

Food security and localization remained central policy pillars in 2025. Saudi Arabia continued advancing Vision 2030 initiatives aimed at strengthening domestic food production and reducing import dependency. The Ministry of Environment, Water and Agriculture targets include domesticating 85% of the food sector by 2030, with an objective of reducing annual food import costs by **± 70 billion**.¹²

Saudi Arabia has repositioned domestic wheat within its food security strategy by reintroducing

local production under a quota system for small irrigated farms, with the General Food Security Authority (GFSA) purchasing up to 1.5 MMT annually at administered prices while maintaining strategic reserves covering more than six months of consumption. Parallel policies to phase out water-intensive forage crops and gradually transfer wheat import and stock-management responsibilities from GFSA to SALIC and, over time, to private flour mills, which is intended to secure long-term wheat availability, reduce supply risk and support the growth ambitions of millers such as First Mills.¹³

Flour Market Outlook

The Saudi flour market continued its steady expansion in 2025, supported by population growth, urbanization and sustained bakery and food service demand. It is expected to grow to USD 3.03 billion by 2033. Total flour volume was estimated at 4.1 million tons in 2025, with projections indicating growth to 4.2 million tons in 2026 and 4.4 million tons by 2027.

This trajectory implies approximately 5.0% year-on-year growth from 2025 to 2026, followed by around 4.0% growth from 2026 to 2027, representing cumulative growth of about 9.2% over the period. Regulated flour pricing remained broadly stable; competition increasingly centered on operational efficiency, capacity expansion, product differentiation and distribution reach.¹⁴

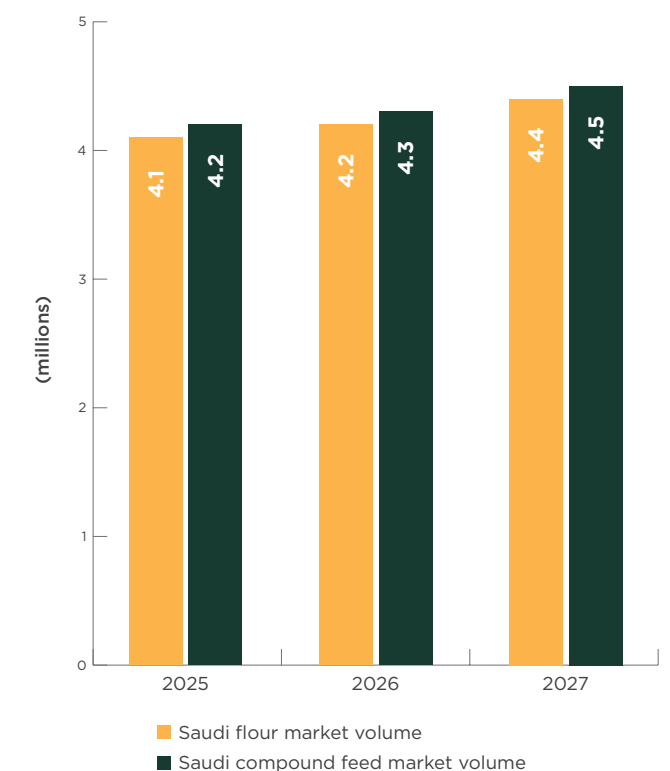
Compound Feed Market Dynamics

The Saudi compound feed market continued to expand in 2025, supported by rising animal protein consumption and the ongoing modernization of livestock production. Market volume reached approximately 4.2 million tons in 2025 and is forecast to increase to about 4.3 million tons in 2026 and 4.5 million tons in 2027, implying cumulative growth of roughly 8.6% over the period. This trajectory reflects year-on-year growth of around 3.8% from 2025 to 2026 and 4.6% from 2026 to 2027, driven by expanding poultry, dairy and meat production, improved feed formulations and continued government support linked to food security objectives.

At the regional level, the GCC compound feed market was valued at USD 14.2 billion in 2025 and is projected to grow from USD 14.9 billion in 2026 to USD 19.3 billion by 2031, representing a CAGR of 5.2%. Saudi Arabia accounted for 56.5% of the GCC market in 2025, reflecting its scale advantage, in which poultry represented

the largest animal segment at 45.6% of market share. Cereals remained the dominant ingredient category at 53.4% of market size, and pellets accounted for 60.4% of revenues, though extruded feeds are expected to record the fastest growth through 2031. Regional demand continues to be underpinned by Vision 2030 food security programs, livestock expansion and investments in higher-value nutrition, with competitive dynamics favoring vertically integrated producers amid ongoing modernization of milling and storage infrastructure.¹⁵

Saudi Flour and Compound Feed Market Growth (2025-2027)



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